

Keeping An Eye On THE INDIAN EMS INDUSTRY Growth Curve



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The Indian electronics industry has emerged as one of the fastest-growing segments in the country. Demand for electronics has been rising constantly and is estimated to reach a market size of US\$ 400 billion by 2020. Of this, electronics manufacturing service (EMS) is expected to contribute a significant share.

Over the years, India, as an investment destination, has witnessed renewed interest among global as well as domestic EMS players. According to a Frost & Sullivan report, the Indian EMS market is expected to reach a market size of US\$ 7.92 billion by 2018. The Indian government is also making earnest efforts to increase domestic manufacturing levels to seize the enormous opportunity presented by the industry.

Considering the importance of EMS, we decided to take a holistic look at how the growing demand impacts this industry. We asked a few questions to senior stakeholders from within the industry as part of our monthly industry poll. In this article we try to get the pulse of the EMS industry in India.

Opportunities galore

Among the survey participants, 97 per cent predict (Fig. 1) that the EMS market in India will be highly dynamic in 2017 since India promises to emerge as a hotspot for electronics manufacturing among the existing South-Asian nations. This is because of benefits like low operating costs and low competitive scenario, which provide ample potential for penetration by original equipment manufacturers (OEMs) and EMS providers across different sets of verticals.

Survey participants indicate that the top three growth-driving application

Methodology

For this report, we received inputs from 12 senior-level professionals involved in the EMS industry. This sample group is a microcosmic representation of India's EMS industry ecosystem. These senior professionals shared their insights on:

- Major growth drivers of EMS industry in India
- Key application sectors
- Strategies to get competitive advantage
- Importance of turnkey manufacturing services to expand business in India
- Need for original design manufacturing in India
- Possible demand for reverse logistics services (repair, rework, refurbishment and the like)
- Challenges faced by EMS companies in India

A trend analysis was done on the basis of their inputs. Results of the analysis are presented here.

sectors (Fig. 2) that will need EMS providers in the country will be:

1. LED lighting
2. Telecom and mobile devices
3. Consumer electronics

Manufacturing partnerships in these segments have been growing steadily, as market demand for the products is very high and OEMs are striving to cut costs to maintain their competitive advantage in the face of rapidly-changing market conditions, technological advances and global competition.

There are opportunities for EMS providers outside these three segments, namely, in medical and strategic electronics (including aerospace, defence and railways). According to survey participants, demand for EMS in medical electronics is totally driven by high market demand for medical electronics products. This is because people are becoming health conscious and average life expectancy rate has increased. Moreover, the medical electronics segment is not impacted by any economic reform.

Aerospace and defence OEMs have been increasingly depending on EMS providers to address risk management, logistics and aftermarket service needs. EMS companies

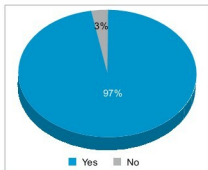


Fig. 1: Forecast on the growth potential of the Indian EMS industry